Bada Business

An Initiative By Dr. Vivek Bindra

10 Day

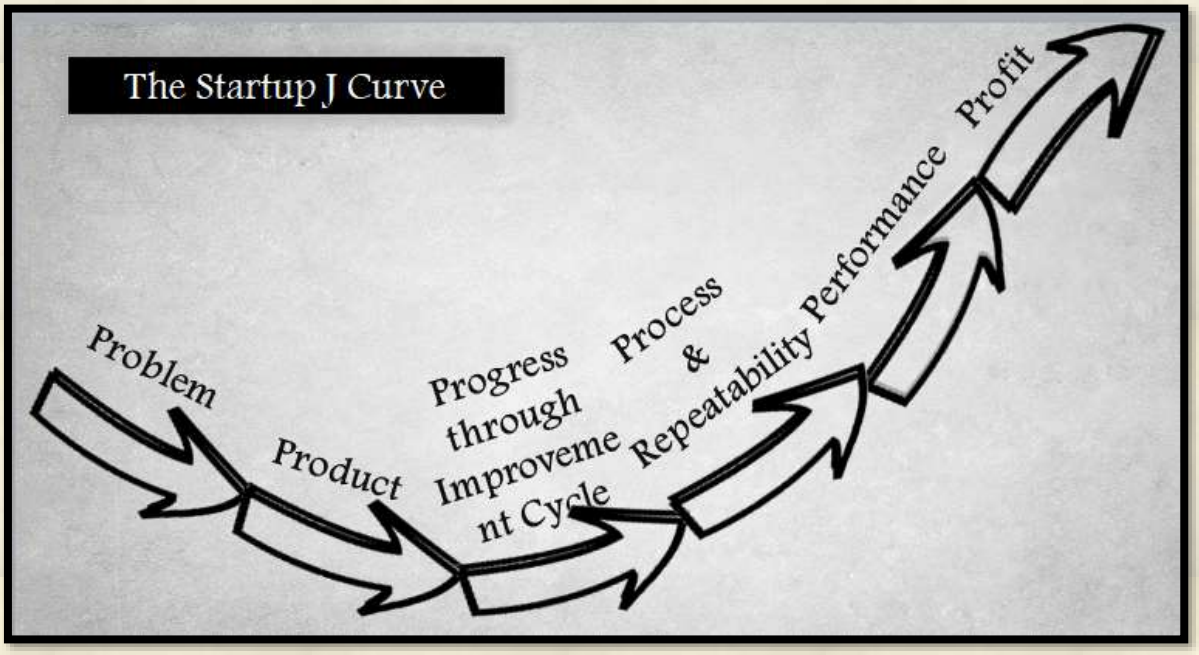
MBA

My Business Association

Day 9

Business Operations & Expansion

1. J Curve


The Startup J Curve
Problem
Product
Progress through Improvement Cycle
Process & Repeatability
Performance
Profit

burbn
Instagram
the point
make something happen
GROUPON
ODEO
twitter

hot or not
facebook
amazon.com
EARTH'S BIGGEST BOOKSTORE
amazon
YouTube
YouTube

paytm
STAY CHARGED
paytm
snowdevil
shopify
STARBUCKS COFFEE • TEA • SPICES
STARBUCKS COFFEE

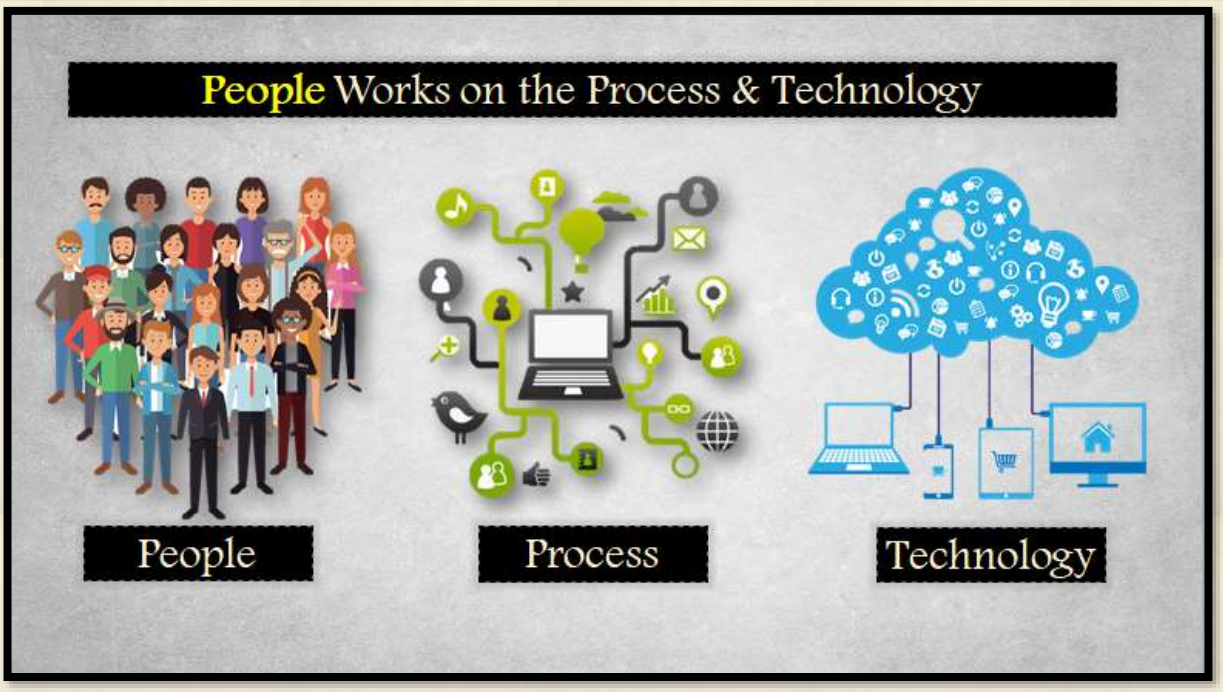
2.Create SOPs (Build a Repeatable Business Model)

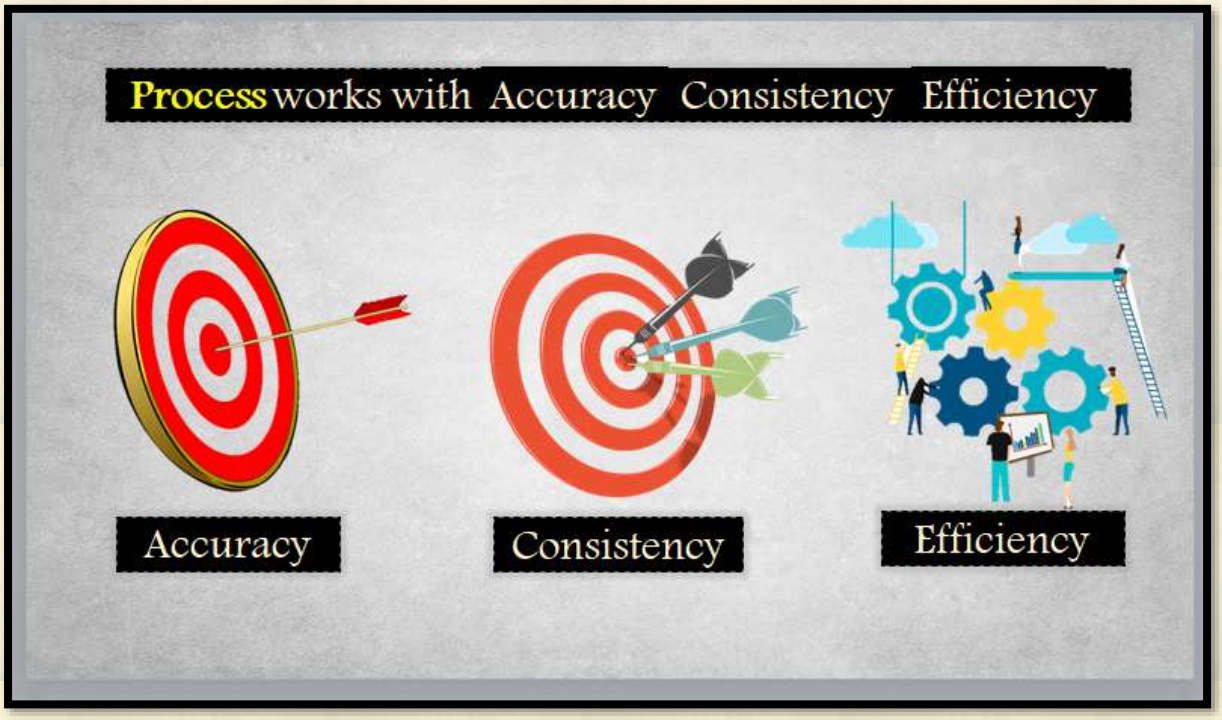
Benefits of Creating Standard Operating Procedures

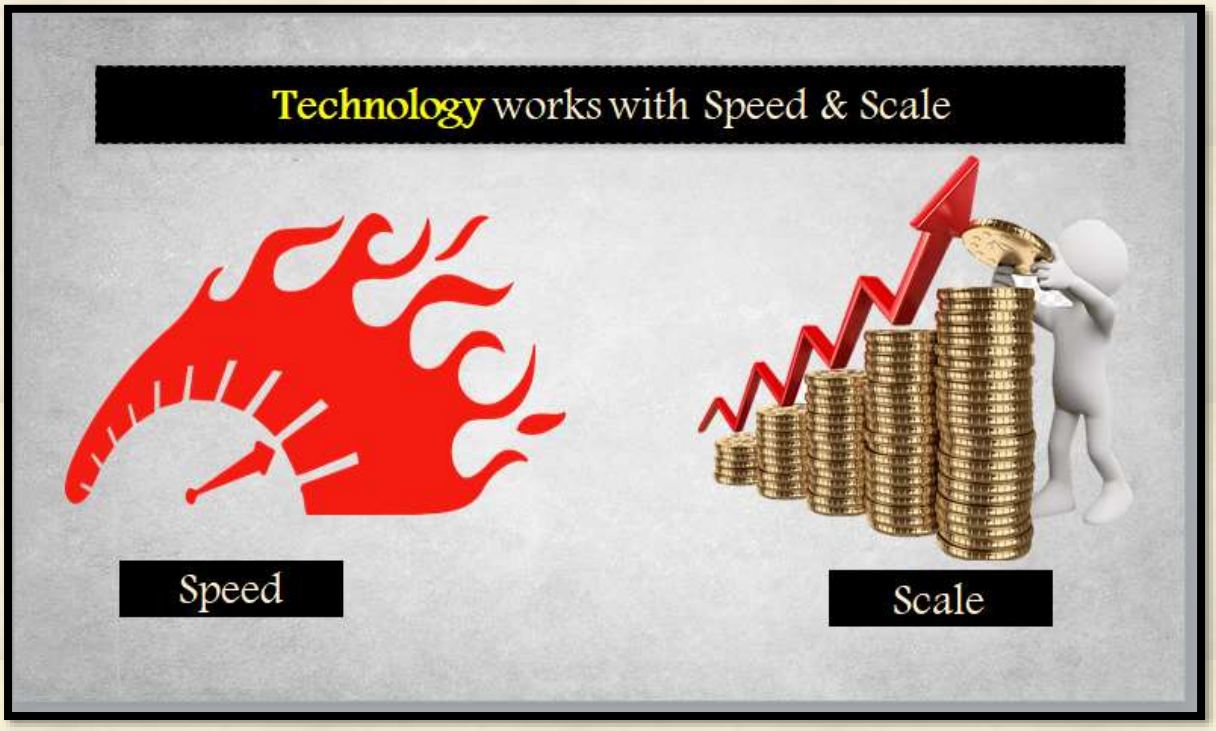
- ✓ Performance Management becomes more Effective
- ✓ Uniformity in Performance- Quality is consistent
- ✓ Scalability becomes Easy – Fast Expansion
- ✓ Speed and Efficiency goes up
- ✓ Reduce Miscommunication

How to Create SOPs?

- ✓ Step-1 Identify the Problem (Frequent Crisis) for which you need the Process
- ✓ Step-2 Create a Boundary of your SOP (Write the first and the last step of your process)
- ✓ Step-3 Write the Actionable and Steps in Between
- ✓ Step-4 Brainstorm and Create a Sequence of the Steps created above
- ✓ Step-5 Put Process Role in a Flow Chart for Integrated Review
- ✓ Step-6 Kill the Potential Problem in Advance by RACI Matrix




Process works with Accuracy Consistency Efficiency
Accuracy
Consistency
Efficiency


Technology works with Speed & Scale
Speed
Scale

3. Job Shadowing

I Do... We Do... You Do! (Job Shadowing)

- ✓ Step-1 I Do.... You See
- ✓ Step-2 You Do.... I See
- ✓ Step-3 You Do.... Report Immediately
- ✓ Step-4 You Do.... Report Routinely
- ✓ Step-5 You Do the Same Process with all your Juniors

Convert Criticality/ Capability into Repeatability

4. Family Run Business

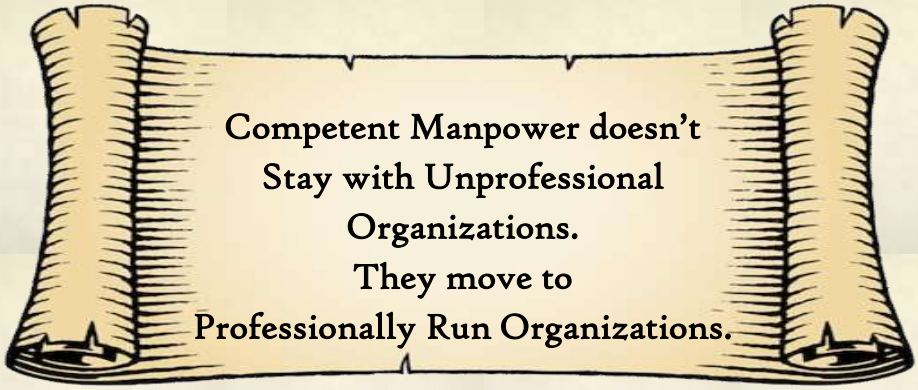
1. **Lack of Long-term Leadership and Strategy**
   - No Written Down Plans
   - Overly Conservative
   - Missing Execution Strategy
   - Paternalistic Control
   - Tunnel Vision
   - Unsystematic Plan

2. **Lack of Succession Planning**
   - Only 15% of Indian Family Business have a Robust Succession Planning - PwC Report

3. **Wealth Management**
   - What is the Equity (share) at the time of Entry and Exit of Internal Family Members?

   ✓ Well Informed Congruent Policies
   ✓ Long Term Vision
   ✓ Written Down Map

4. **Lack of Professionalism**



1. Hire Professionals and Love them like Family Members
2. Train your Family Members like Professionals

5. CEOs Office in Absence of CEO

- ✓ No Growth-Oriented Task
- ✓ No Innovation
- ✓ No New Business Opportunity
- ✓ No New Business Strategy
- ✓ No Billion Dollar Company
- ✓ No Time Management
- ✓ Ignore Unproductive Meetings

Personal Assistant

- Timetable
- Phone Calls
- Travel
- Activities
- Appointments
- Front Desk
- E-mails
- Client Meetings
- Client's Files
- Fax

Executive Assistant

- Qualification - MBA Finance/ CA
- MIS Reports
- Client Calls
- Creates Dashboards
- Excel Sheets
- Departmental Reviews
- Office Ambassador
- Decision-Making
- Project Management

Chief of Staff - Works With Department Heads

- Give Bird's-Eye View | helicopter View
- Analyst
- Connect Different Department
- Acts As Coach
- Your Right Hand Man
- Change Agent
- Trust Advisor
- Decides Strategic Priority
- Manages Department Leader's Time
- Meeting Preparations
- Acts As Gatekeeper
- Project Manager
- Strategic Planning & Alignment
- Decision-Framer
- Engages Investors

6. RBG Dashboard

Red

- Unable to achieve the Goal
- Only 60-70% target is achieved
- Review and Reprimand

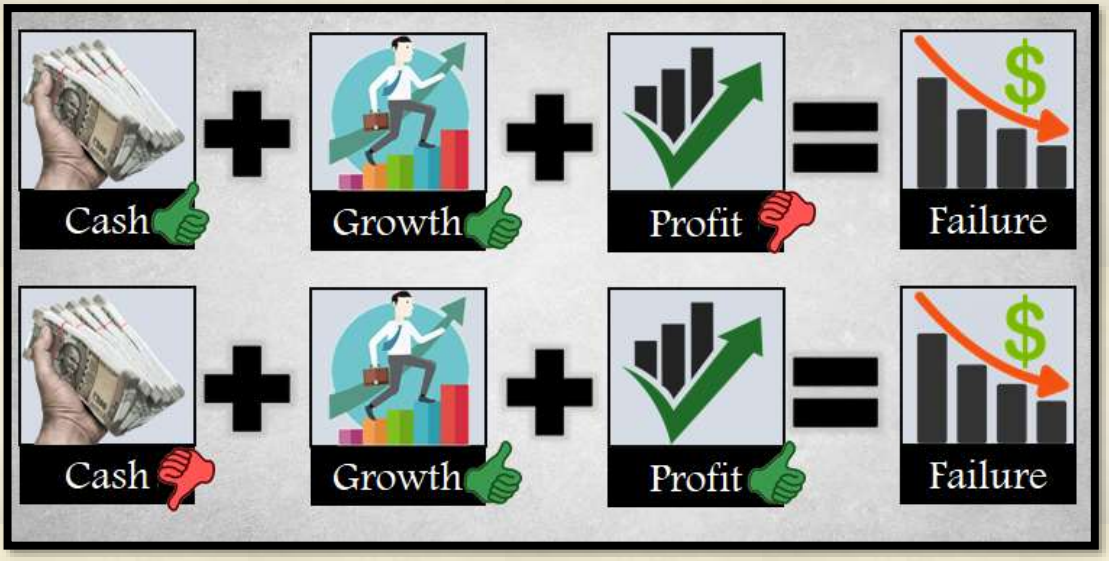
Blue

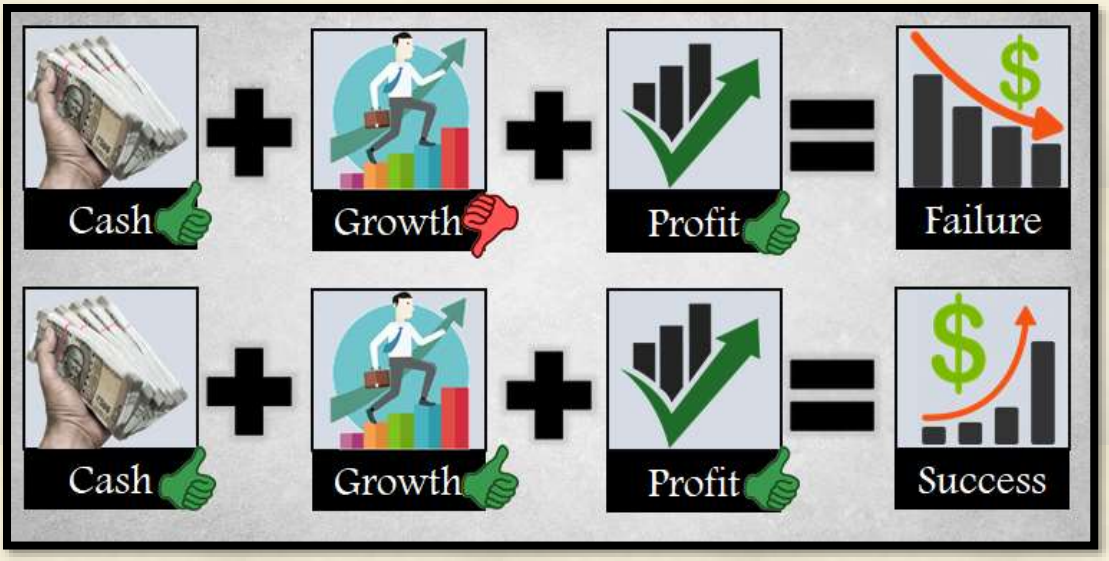
- Close to the Goal/ May Achieve
- Only 70-80% target is achieved
- Coaching and Mentoring

Green

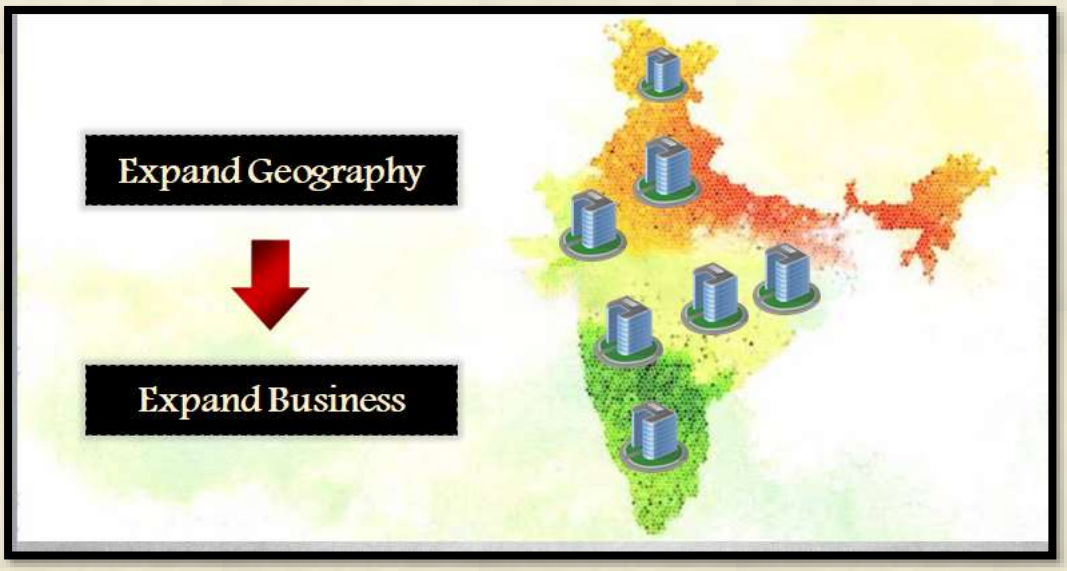
- 100% Target is Achieved
- Reward and Recognition

7. Cash Growth Profit





8. Geographical Expansion



1. **Availability of Resources**

If you want to do a Technology Business, don't do it in Pilibhit or Delhi, do it in Bengaluru.

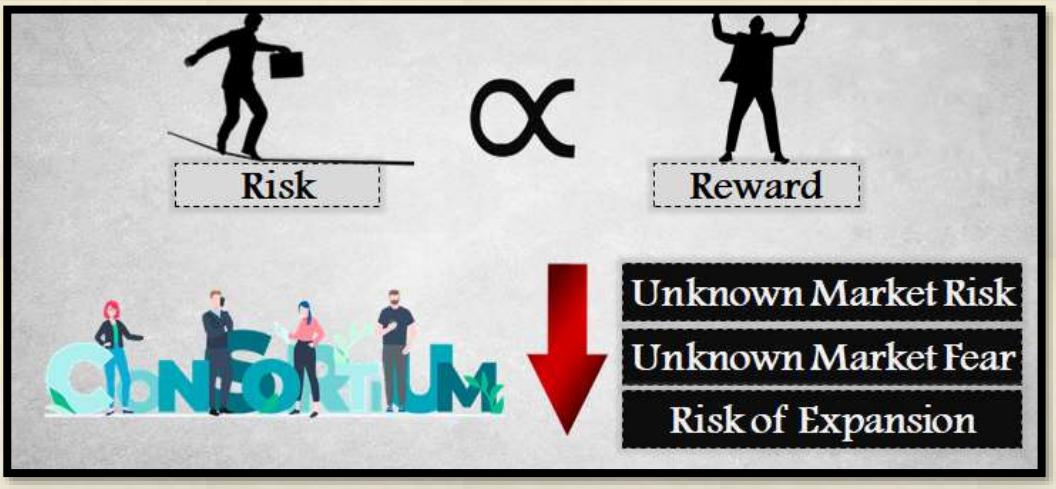
Expand where You Easily Get....

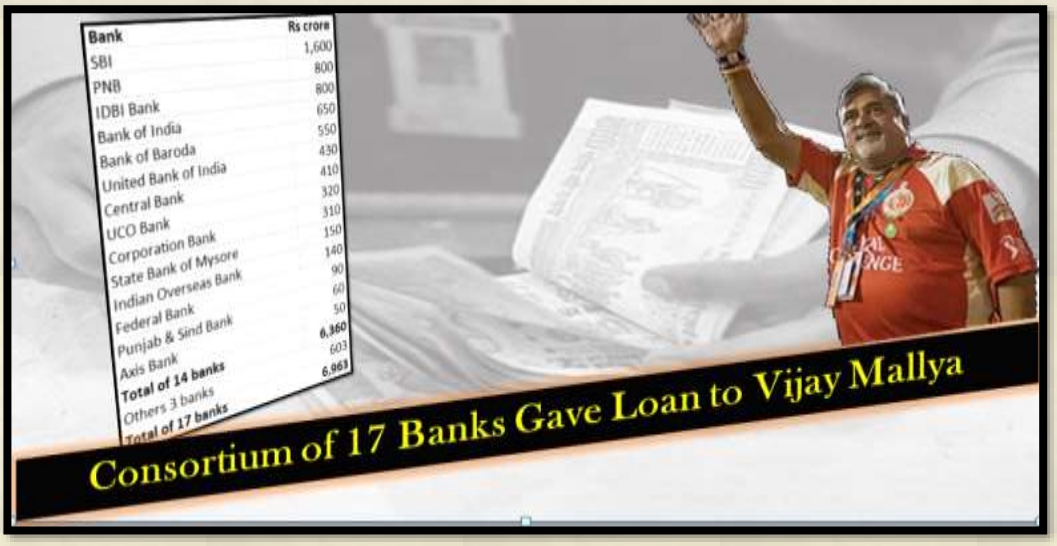
- Raw Material
- Resources
- Competent Manpower

Gujarat: For Doing Business in Textile

Rajasthan: Business in Gems & Jewellery

2. Consortium Based Export





Bank	Rs crore
SBI	1,600
PNB	800
IDBI Bank	800
Bank of India	650
Bank of Baroda	550
United Bank of India	430
Central Bank	410
UCO Bank	320
Corporation Bank	310
State Bank of Mysore	150
Indian Overseas Bank	140
Federal Bank	90
Punjab & Sind Bank	60
Axis Bank	50
Total of 14 banks	**6,360**
Others 3 banks	603
Total of 17 banks	**6,963**

3. New Technology Transfer Agreement

Get Technology Transferred Against Money and Expand

4. Home Market Becomes Saturated

When your Home Market Becomes Saturated, Expand in Opportunistic and Developing Market

Don't do Geographical Expansion to Satisfy your Ego!

5. Reduce Logistics Cost

Do Business where you are able to Save your Logistics Cost

6. Global Internet E-Commerce Company

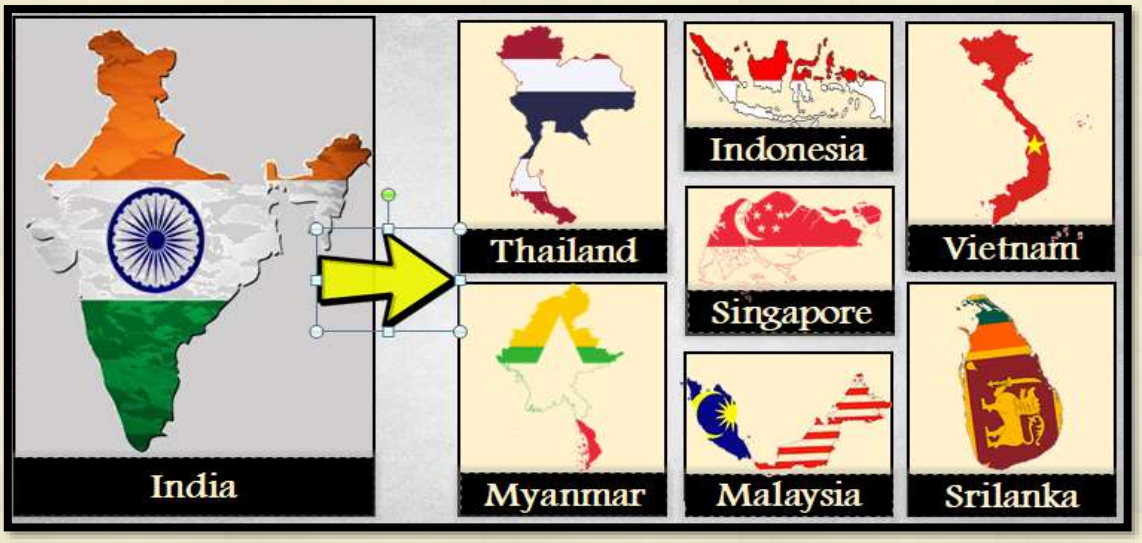
Create a Global Platform

7. Political Factors in Destination Country or City

Expand where Ease of Doing Business is More

8. Economic & Legal Factors in Destination Country

Look how Conducive are Economic and Legal Factors in the Country where you want to Expand... Look for Countries that Allow ***Free Trade Agreement***



9. Consideration of Working Capital

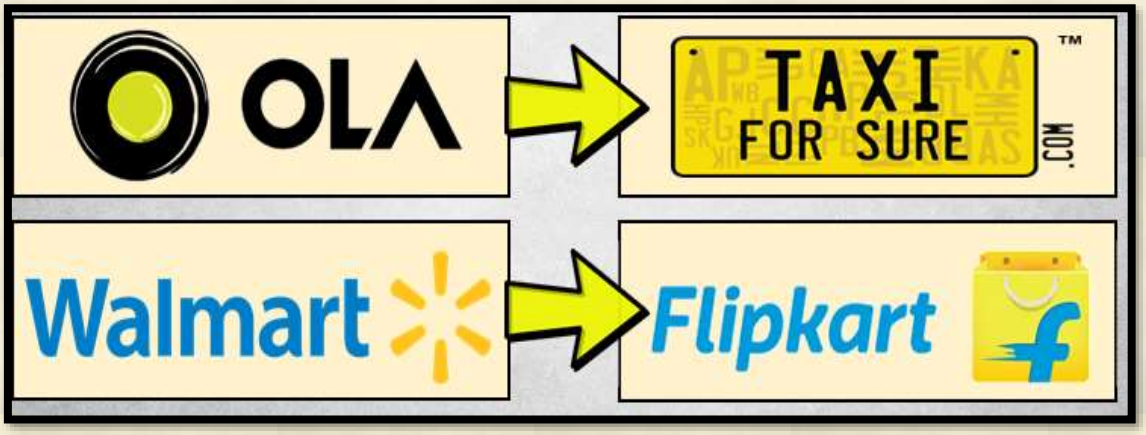
Expand... But Secure Working Capital!

10. Localization is the Real Globalization

Understand the Geography Before Expansion

11. **Inorganic Strategy**

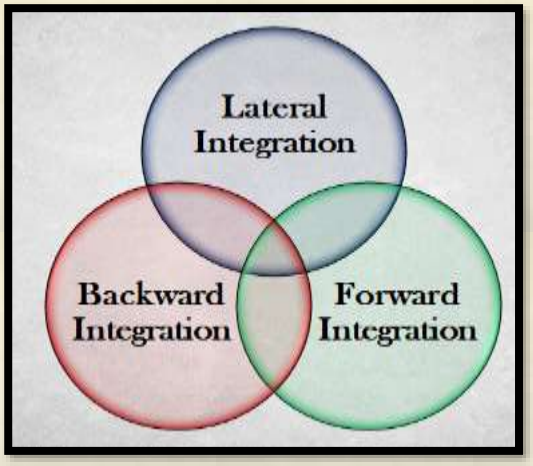
Look for Small Players in a New Location and Take Over!



9. Expansion through Integration

- Is my Business Suffering due to Quality Control Issues?
- Is my Business Suffering due to Dependency on Vendors?

Use Backward Integration & Forward Integration to Reduce the Dependencies on Vendors & Control the Quality of the Product/ Service



1. **Lateral/ Forward Integration and White Labeling – Rajesh Exports**

- Mining
- Refining
- Bullion
- Manufacturing
- Export
- Wholesale
- Retail

RAJESH EXPORTS

2. **Backward Integration for Margins – D-Mart**
   - D-Mart when revised their Business Strategy realized that their supplier of clothes are making the Highest Margin.
   - They did Backward Integration and started manufacturing their own clothes. This way they saved a Huge Margin which they were earlier giving to the Suppliers

3. **Value Chain for Associated Products - Raymonds**
   - Level 1: Yarn &Textile Manufacturing
   - Level 2: Opened Outlets for Readymade Garments
   - Level 3: Opened Outlets for Customized Suits
   - If Raymond's would have started a manufacturing unit of processed food, it wouldn't have been successful.

   Spread Across Your Associated Line of Business
   - Add Allied and Inter-Related Products in the Product Portfolio
   - Ferns n Petals- Added Products with their Flowers

4. **Requirement of Adequate Working Capital**
   - Imagine you've a Food Processing Unit
   - Total of Rent, Salary, Raw Material and Other Expenses = Rs. 50/--
   - You've to sell your Product at Rs. 100/- to make Profit of Rs. 50/-
   - You have to Cautiously see and Ensure that you Save at Least 20%, which you can Further Invest in Your Business for Expansion

5. **Availability of Resources**

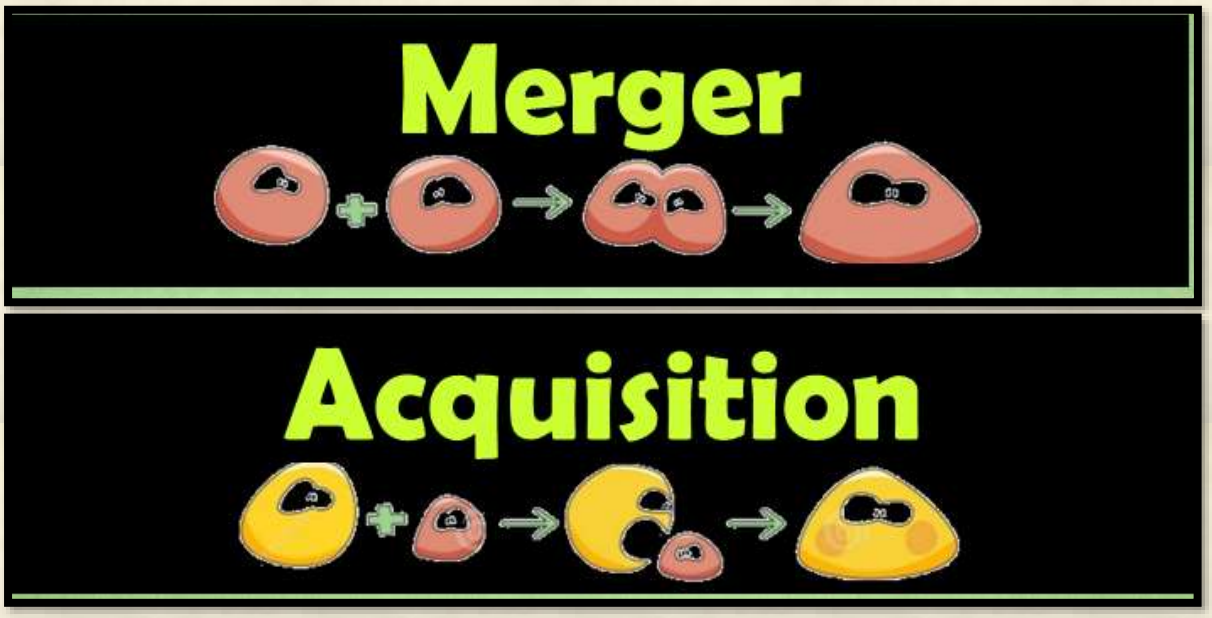
   There are two types of Available Resources:

   (1) Manpower Resources

   (2) Material Resources

   - At any time, 20% Manpower is generally less engaged Identify them and put them into your New Line of Business.
   - If you have extra Space, Raw Material in your Existing Business, then you can use them too into your New Business.

10. Merger and Acquisition



2 Ways to Diversify Your Business

1. **Launch New Products**
   - You start afresh (from 0)
   - Start with Negative/Loss
2. **Acquire New Products**
   - You start from Base Sale
   - Start with Profit

Reason for Failure of Merger & Acquisition in India-

- Valuation is very High- Brand approached for Merger & Acquisition closes the deal at 16 Times of EBIDTA

Reason for Successful Merger & Acquisition Outside India-

- Valuation is Low- Brand approached for Merger & Acquisition closes the deal at 5 Times of EBIDTA

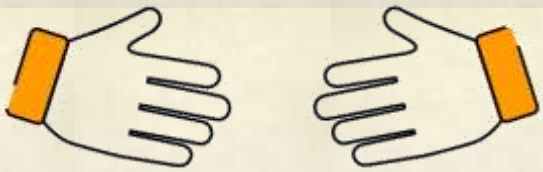
Advice for SMEs for Mergers and Acquisitions

- Don't take Debt for Merger and Acquisition
- Analyze if your Distributors can sell the Acquired Brand Product
- Analyze the Brand Equity of the Acquired Brand

- Analyze the Future of the Acquired Brand
- Analyze Impact of the Acquired Brand on Current Product Line
- Check Current Capabilities and Disabilities

Examples of Mergers and Acquisitions

- Tata Motors – Jaguar and Land Rover
- Kotak Mahindra Bank – ING Vyasa Bank
- Arcelor Steel – Mittal Steel
- Satyam – Tech Mahindra
- Tata Steel – Bhushan Steel
- Taxi for Sure – Ola
- Abbott – Piramal
- Ranbaxy – Sun pharma
- Adidas – Reebok
- Facebook – WhatsApp
- Flipkart – Myntra
- Flipkart – Walmart



Merits of Merger and Acquisition

- Economies of Scale gets Build
- Manpower Productivity goes up
- Financial Capability Increases
- Technical Competence Increases
- Global Presence and Domestic Market Presence Increases
- Goodwill gets Built | Speed Increases
- Recall Value Increases
- Tax Benefit (acquiring a loss making company)

De- Merits of Merger and Acquisition

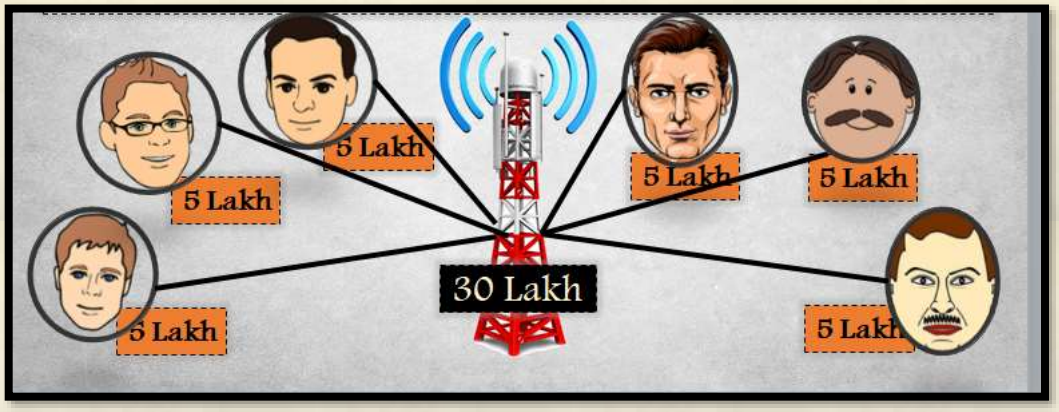
- Insecurity in the Minds of Employees, hence Attrition
- Balance your Cash and Operations! Don't leave the Sure for Unsure

Why do Mergers and Acquisitions Fail?

- Wrong Due Diligence
- Wrong / Incompetent Partner Selection
- Partner is Competent but his Manpower is Incompetent
- Shelled out more Money than Needed
- Incorrect Understanding of Strategy
- Misfit Employees because of Cultural Difference

11. Strategical Alliance

1. **Increase Customer Satisfaction**
2. **Build Economies of Scale**
   - When Scale Increases the Cost of Production Goes Down
   - When two or more Partners work together, Scale Increases
3. **Increase your Service Offerings**
   - Build Strategic Alliance in such a way that your Product Portfolio Increases
   - For Eg, if you have 5 Products of your own, and you take 5 from someone else, then you will also have 10 and the other person will also have 10 to Sell
   - This way your Revenue Goes Up, because now you are Selling 10 Products instead of 5.
   - Keep in Mind that they have to be Non-Competing Brands
4. **Sharing of Cost**
   - Airtel Partnered with SREI Infra and Reduced the Cost of Mobile Tower.



5. **No Skin in the Game**

- Build Strategic Alliance in such a way that your Partner's Stakes are also Involved otherwise there will be Lack of Commitment.

Things to Remember while doing Strategic Alliance

1. Check for Legal Formats
2. Mistrust among Partners
3. Vested Interest of Partner
4. Plot by Competitors
5. Over Dependence shouldn't be there on Partner
6. Keep Good Lawyer Around for Legal Solution
7. Keep Strong Paperwork
8. Public Perception

12.Shop In Shop Strategy

This concept is used when brand owner takes space in another retailer's store and fits it out to provide selling space to show its products. There are benefits to both, brand owners and retailers.

- Shared Cost
- Shared Marketing
- Demand Generation
- Speed to Market

➢ **Hospital:**
- Subway
- Sagar Ratna
- Cafe Coffee Day
- ATM

➢ **D Mart**

➢ **Future Retail**

➢ **Shoppers Stop**

13. General Trade Vs. Modern Trade

Get rid of counters System in Store

- Counters creates Visual Barrier
- Counter also arise them versus me feeling in Customer's mind
- Going to Self Checkout can conclude Higher Sales.

General Trade	Modern Trade
लाला जी की दूकान	D-Mart, Shoppers Stop
Day to day Purchase in small quantity	Selling multiple products in Larger Quantity
Customer Has No Option to Flirt With The Product	Customers Can Touch & Feel the Product
उधार खरीदारी कर सकते है	Payment - Then & There

14. Franchise Model

Do You Know?

If your Business, Product, Quality and Service all are great, then you can easily Scale up and Expand your Business by becoming a Master Franchisor.

In a Franchisee Model, the Franchisor Hands over the following to the Franchisee:

- Proprietary Tools
- Technology
- Trademark
- Software

- Manuals
- Business Process

Benefits of Franchisee Model:

- Revenue
- Royalty
- Profit
- Business Blueprint
- Business Models
- Operating Methods

Franchisor - Franchisee Models

- **COCO-** Company Owned Company Operated
- **FOCO-** Franchisee Owned Company Operated
- **FOFO-** Franchisee Owned Franchisee Operated

FOFO- Franchisee Owned Franchisee Operated

- Franchisee Owned-- Company Operated
- Capital Expenditure-- Franchisee
- Operational Expenditure-- company

FOFO – Franchisee Owned Franchisee Operated

Franchisor

- Royalty | Fixed Amount
- Capital Expenditure
- Operational Expenditure

Franchisee

- Trademark | Brand | Detail | Manual | Process | Standardization
- Franchisee

Advantages to Franchisor

✓ No worry of Running Cost

- ✓ Profit becomes Recurring Revenue
- ✓ International Presence Increases
- ✓ Build Economies of Scale
- ✓ Proven Track Record
- ✓ Readymade Business Model
- ✓ Trademark Signage
- ✓ Trained Manpower System
- ✓ Existing Brand Name

THINGS TO KEEP IN MIND

- ✓ Keep Strict Controls on the SOPs & Critical Decisions
- ✓ Choose your Franchisee Partner carefully – Don't rush
- ✓ Tell your Franchisee Partner that there's no Scope of Variation, you will work on Standardization
- ✓ Do a Regular Check on Cleanliness, Customer Service, Pricing and Quality at the Franchisee
- ✓ Keep a Good Lawyer since Inception
- ✓ Choose the Franchisee Location Carefully
- ✓ Make a Mentor in Business Since Beginning
- ✓ Create a Franchisee Disclosure Document in a Distinct Format. This will help Control your
  Intellectual Property Protection
- ✓ Properly Draft your Deal-Breakers and Deal-Makers in the Beginning to Ensure Clarity in Communication
- ✓ Monitor every Activity of your Franchisee. Communicate Clearly that he has to take Permission Before Introducing Anything New

Do You Know?

As a Franchisor, the biggest risk you take is by giving your Brand to someone else... Your Brand is your Baby and one as to be very careful while handing over his baby to someone

Franchisee

- Product
- Process
- People
- Pricing

- Problem
- Positioning

Dis-Advantages to Franchisee

- Higher Entry and Ongoing Cost
- Lack of Flexibility
- Through Research has to be Done
- Check the Failure Rate
- Franchisor Controls All the Cards

Mc Donald's is One of the Most Visited Restaurants in the World.

The Average McDonald's Drive-thru Transaction Takes Roughly 3 Minutes, or 190 Seconds – Research.

1. Menu Innovation
2. Coined the Term "Fast Food"
3. Strategic Values => QSC&V
4. Power of Systems & Repeatability
5. Begin with Internal Marketing Plan
6. Local Product Local People Local Price
7. Invite in With Low Ticket Price Cross Sell for High Ticket Size

15. Distribution Network

Do You Know?

There are approximately 1 cr 30 Lakh Retail Shops in our Country in Unorganized Sector? Out of which approximately 65Lakh Retail Shops sell products of Hindustan Lever (HUL). This is possible because they have a strong Distribution Network!

How to find the most Favourable Distributor?

- ✓ Build a Team of Sales Representatives and Channel Sales Representatives.
- ✓ Join the Industry Association
- ✓ Regularly attend the Trade Shows and Exhibitions of your Industry.
- ✓ Meet your Existing Distributors and take References.
- ✓ Refer to the websites specially designed to find Distributors, Retailers and Wholesalers

Do You Know?

But it is equally important to first find out whether the Distributor is right for you or not. There has to be a Proper Selection Criteria.

Distributor Selection Criteria

- ✓ Is your Distributor Able to Cover the Geographic Location Appropriately?
- ✓ Does your Distributor Have a Selling Capability and Capacity?

Distributor's Focus on your Industry?

- ✓ Does your Distributor have a Proper Sales Team?
- ✓ How is the Current Financial Strength (Capability) of your Distributor?
- ✓ Does your Distributor have a Proper Customer Base?
- ✓ What is the Knowledge Level of your Distributor?
- ✓ What is the Current Range of the Product Portfolio of your Distributor?
- ✓ Is your Distributor Able to Adapt to Technology?
- ✓ Does the Retailer have Trust on your Distributor?

Recruitment of a Distributor

1. Exciting Aspirational Package
2. Give Great Offers
3. Give a Total Solution
4. Give Training
5. Give Service
6. Create a Price Catalogue
7. Distributor should see ROI
8. Give Support of a Demo Team

9. Give Support of Marketing Team
10. Show him your Media Plan
11. Show Testimonial References

16. Pop Up Shop Strategy

Temporary Retail Establishments that Emerge for Few Hours, Days or Weeks on Street Corners, In Malls & At Major Public Events.

Moment Marketing

New Touch Point for Customers without investing in a new store.

- ✓ Test a product idea
- ✓ Create buzz during a holiday
- ✓ Generate Brand Awareness

Gather Crowd at Your Pop-Up Store

- Choose the Right Time & Location for Your Pop-Up

Before Opening Day

- Do Flash Sales: Heavy Discount Items for only Few Hours
- Conduct Fun Activities
- Social media: Hashtags, Selfies, Shares, Updates etc.

17. Off Season Sales

आपका बिज़नेस सीज़नल हो सकता है लेकिन आपकी कमिटमेंट सीज़नल नहीं होनी चाहिए

- Dr. Vivek Bindra -

- ✓ Go where the Season is...
- ✓ Extend your Season
- ✓ Contract Manufacturing
- ✓ Serve Other Industries
- ✓ Add Complimentary Freebies, Product or Service
- ✓ Focus on what you can't do During the Season
- ✓ Build a New Off Season Product Line
- ✓ Money Saved is also Money Earned

18. Compliance Management

- Retailer पूरी ज़िन्दगी इसी डर में बिता देता है कि Computer लगा लिया तो Income Tax का छापा पड़ जायेगा और उसकी पोल खुल जाएगी |
- इसी डर कि वजह से अपनी दुकान का Shutter खुद ही खोलता और बंद करता है/ और गल्ला नहीं छोड़ता है जबकि GST केवल उसको Profit पे ही देना है|
- 100+GST में खरीदा => 110+GST में बेचा 100 रूपए का Input Credit मिल जाता हैं|10 रूपए पे 1 रूपए देना है .... 1 रूपया बचने के चक्कर में110 रूपए और अपनी ज़िन्दगी, दोनों खराब कर ली|
- Computer लगाने से उसकी GST Return और Compliances बहुत आसानी से Maintain हो सकती है|

19. Stock Management

- **Stock Manage** ना होने पर आपको पता ही नहीं होता की कौन सा **Item Short** है/ किसको पहले से **Order** कर लेना चाहिए
- **Stock Mis-management** के कारण **Customer** को खाली हाथ लौटना पड़ता है|और वह कहीं और चला जाता है **Customer Loss.**

Ensure Products on Point

- How to Stock Right Product at right time ?
- Forecast Demand | Avoid Stock- Outs
- How to avoid and address stock-outs in store ?
- Stock Level Alerts | Accurate Reporting |
  Timely Product Ordering Features |
- Cultivate strong relationships with suppliers

ना दिया परिवार को वक़्त, ना पूरी हुई पर्चो की फेरी, दिन भर चौकीदार बन बैठे रहे,फिर भी हो गयी पैसों की चोरी |

20. Expiry Management

If not Managed Properly, Expiry is the Biggest Loss;
Every Item has Expiry – Medicine/ Rubber/ Vegetable/ Human

Expiry is 10 - 12% Sales Loss if not paid attention

Back and forth of Expired Items happens because of
No Record Keeping of Suppliers and Supplies

21. Profitable Push Sales

- Software Suggests Profitable Push Sales of High Margin Item and also Items which are Nearing Expiry
- **ERP Software** से **Retailer** को **Distributor** के **Dump** पड़े| **Stock** की जानकारी हो जायेगी|
  - ✓ कौन सा **Item Expire** होने वाला है
  - ✓ कौन सा **Item** खराब होने वाला है
  - ✓ कौन से **Item Dump** हो रहे हैं
  - ✓ कौन से **Biscuit** गलने वाले हैं
  - ✓ कौन सा **Juice** का डब्बा सड़ने वाला है

जिन **Items** की **Expiry Date** नज़दीक होती हो वो 50% **Discount** पे मिलने लगते हैं |
High Margin Substitute

22. Behaviour Forecasting

- Software Captures the History of Previous Purchase and Suggests Regular Purchase Items

- For eg, If you buy Soya Chaap/ Software will suggest to buy Masala| Tooth Paste – Tooth Brush| Shaving Razor – Shaving Gel – After Shave

Computer याद रख सकता है, आदमी नहीं|***Computer*** एक ही काम को बार बार करने में ***Bore*** नहीं होता, आदमी हो जाता है

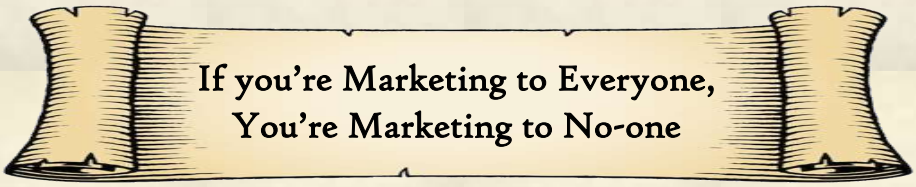
23. Wide Assortment Strategy

- Maximum Product Category, Minimum Product Variety
- Wide Product Categories But Lesser number of products in each product Category

Grocery Store provides Lot of Different Products Catagories but limited Stocks of Each Brands.

24. Deep Assortment Strategy

- Maximum Product Variety, Minimum Product Category
- Large share of only one or very few segment.
- Provides a Differential Advantage over Competing Organizations which are Multi Focused
- Small but potentially profitable market segments
- Common for Specialty Stores that Focus on One or Few Product Categories



25. Scrambled Assortment Strategy

- Maximum Product Category, Maximum Product Variety
- Serve as many customers as possible As many option as possible
- Offer "One-stop Shopping" to Customers

- Supermarkets Offer Wide Range of Non-food products | Hardware | Videos & videogames, Cameras | Batteries | Prescription Drugs

26. Enterprise Resource Planning (ERP)

Benefits of ERP

Manage and Control various operations related to

- Technology
- Payment Control Mechanism
- Inventory Management
- Wastage
- Payment Collection
- Services
- Cumulative Cost vs. Selling Price
- Expenses
- Cash Flow and Taxation
- Sales Projection
- Procurement
- Stock Taking
- Margins
- Bank Transactions
- Incentive Distribution

Your रामू is Expert in Rack Management..

In absence of Ramu you may loose a sale even when product was in the store => Ramu becomes Blackmailer (Dependency) => Salary is increased under pressure

Rack Management रामू के दिमाग से निकाल के Computer में डालना है

ERP Software will Tell You Rack No of Each Item

27. Flexi Payment Options

Provide as much payment option as possible:

Offering more payment options makes easier for prospects to give you their money.

Make payments frictionless, not frustrating. Let your customers pay how they want, when they want.

Alternate Payment Methods

- Credit Card
- Mobile Payments

- EMI Schemes
- Digital Wallets
- Prepaid Cards
- Barter
- NBFC
- Money Order
- Demand Draft
- Cheque
- Wire Transfer
- Google Pay
- Razor Pay
- eNACH
- Net Banking

28. Point Based Loyalty Programs

Introduce Point Based Loyalty Programs

- According to Deloitte Retail Survey, Brands who run Point Based Loyalty Programs are 88% more Profitable.
- People Love Loyalty Programs if you make it Easy for them.

Loyalty program

Implement loyalty program that can customize to audience.

- Loyalty Program helps in following :
- Tracking & Incentivize customer lifetime value
- Higher ROI

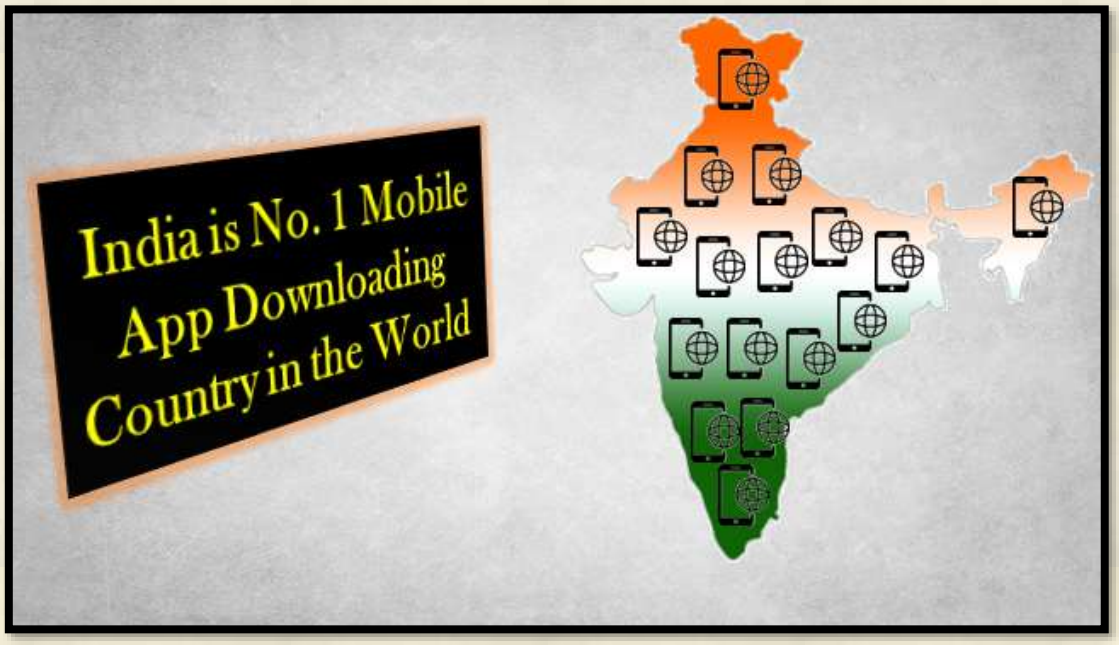
Vistara Frequent Flyer Loyalty Program

- Extra Baggage
- Free Lounge Access
- priority Check-in
- Free Business Class Upgrades

"You don't earn loyalty in a day. You earn loyalty day-by-day."

- ✓ Rewards for contractors
- ✓ Registering potential leads
- ✓ Recommending ACC products
- ✓ Bonus points to enrolled contractors through games, quizzes, events, and occasions.
- ✓ Enrolled nearly 45K contractors, In February 2024, Atoot Bandhan 2.0 was honored with the "Most Engaging Loyalty Program"

29. Mobile Application

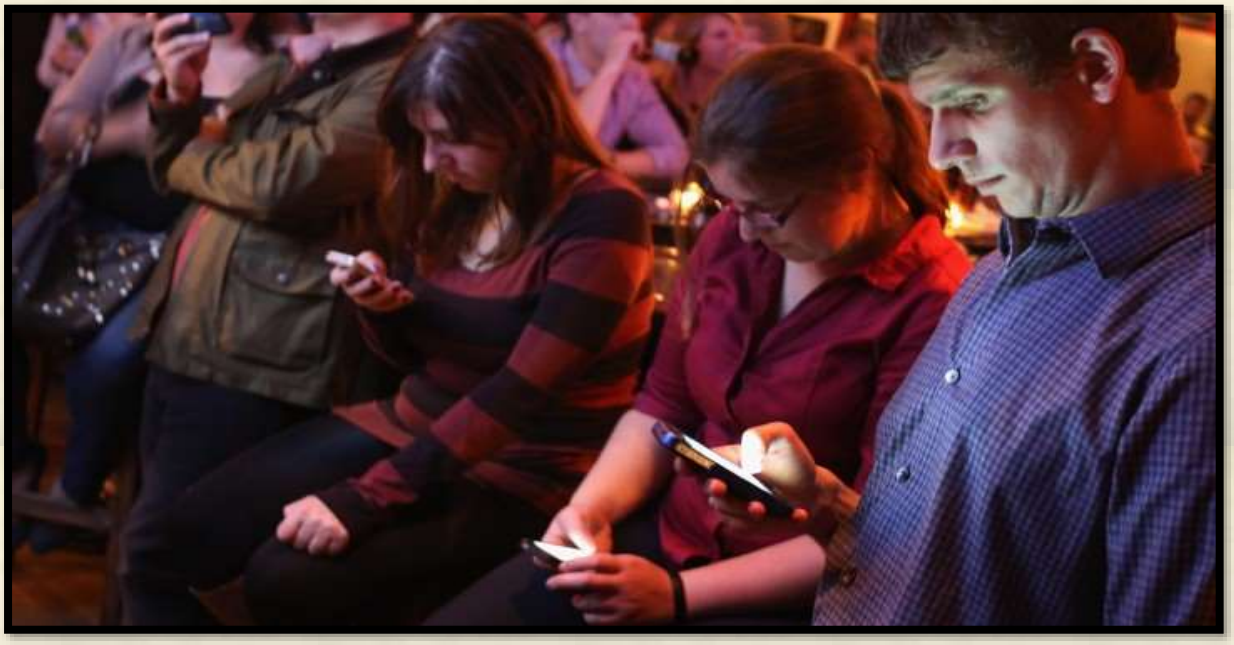


India is No. 1 Mobile App Downloading Country in the World

Current Trends

- Internet of Things
- Artificial Intelligence
- Machine Learning
- Big Data
- Analytics

On an Average, A Person Spends 7 Hrs/ Per Day on Mobile

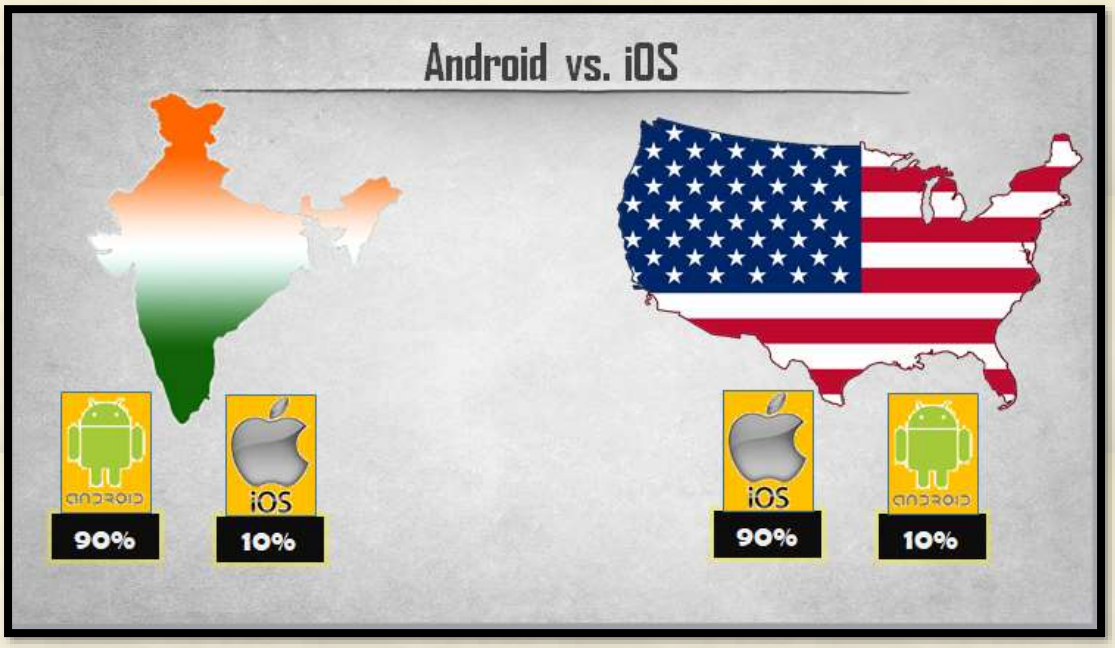


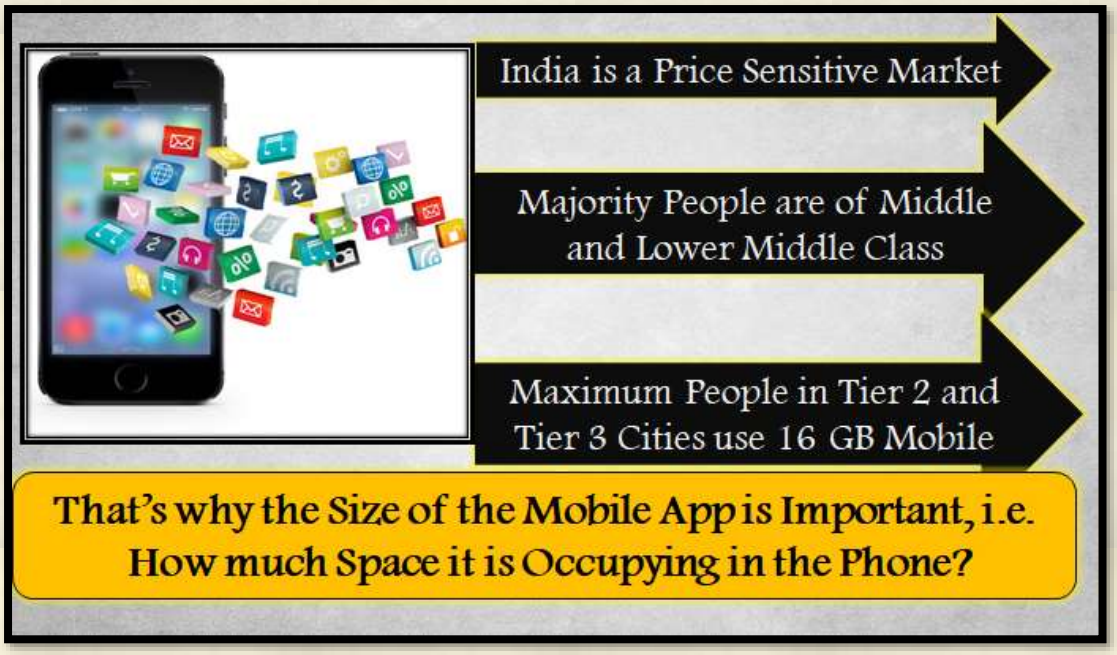
It is Estimated that by 2025, there will be 75 Billion Mobile App Downloads in India

Mobile App has given Speed and Convenience to the Customer

90% Mobile Apps in India are on Android

Android vs. iOS





Benefit of Mobile App – Build Engagement

- Engagement can be Build with the Customers by Doing Two-Way Communication
- Monitor all his Complaints, Comments, and Suggestions etc

Effective Frequency - Increase Loyalty

- If a Customer is Seeing you for more than 20 times in a Week, then the Likelihood of Him Remembering you is Much More.

Customer आपके साथ Loyal होना चाहता है अगर आप उसके लिए यह आसान कर दें

Benefit of Mobile App – Come out of Brick and Mortar

Benefit of Digitalization

1 Less Infrastructure Cost

2 Less Manpower Cost

3 Pop-up/ Instant Notification

4 Up-Sell / Cross-Sell

How to Make a App that can Give you Million Downloads?

1. **Triple V Formula – Voice | Vernacular | Video**

2. **Less Storage**
   - Out of 16 GB, 4 GB is Occupied with Pre Burnt Apps
   - 70% times People Uninstall Mobile Apps from their Phones is because of Lack of Space and Huge Size of the App

3. **Works in Offline Mode**
   - Give your Customer a Convenience to download Stuff Offline from your Mobile Application

4. **Clarity Precedes Design**
   Purpose comes before Product
   Colour | Font | Layout | Templete | Icons | Buttons | Graphics – NO
   - User Flow/ Journey
   - Sales Funnel
   - Error and Bugs
   - Analytics
   - Drop Offs
   - Conversion
   - Testing
   - Data / Numbers

5. **First Version of the App should be Free**
   - Free Experience
   - Free Content
   - Free Product
   - Free Services

   Free (Initial) + Premium (Later) = Free-mium

6. **Great Marketing Strategies**
   - Create a Buzz even before the Mobile App is Officially Launched
   - Create a Hunger Marketing around the Mobile App
   - People should Look forward to Downloading your Mobile App
   - Find out your Cross Promotion Partners/ Barters/Affiliates who will give you Reach

7. **Repeat and Reference**
   - Create Referral Schemes
     Give Points for Reference

8. **Focus on Friendly Engagement**

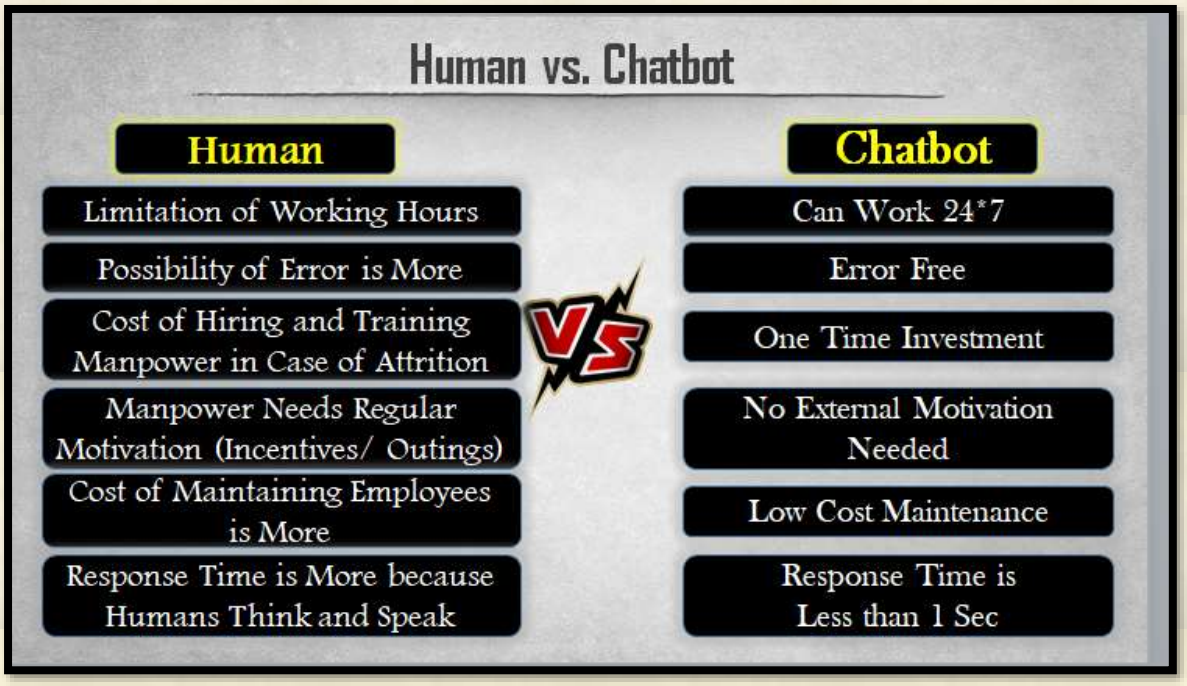
- Don't Use Over Push Notification – It Irritates Customer

9. **Security**
   - People Put their Personal Details like Bank Account Details, Passwords, ID Proofs, PAN Card Details, Personal Details in the App
   - Security of Customer's Details should be Sacrosanct - It cannot be Lapsed
   - Security Lapse can Take you to Legal Law Suite

30. Chatbot

- Chatbot is a Machine that is designed to respond like Humans.
- Chatbots reduce the Manpower Cost.
- Chatbot is generally used by those Companies which have a lot of Customer Interaction.

Chatbot vs. Human



31. Debt Restructuring

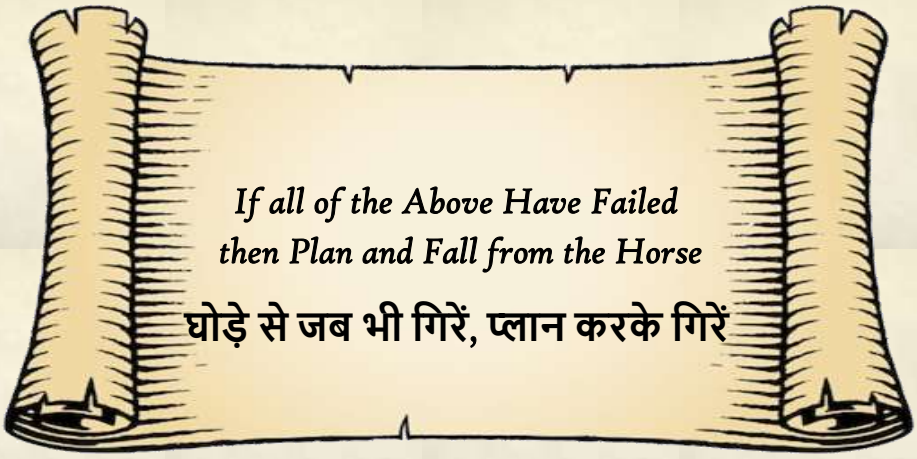
Debt is the Worst Enemy of a Businessman,
If not Handled Properly, Debt can be equal to Death.

Overburden of Debt Happens Due To...

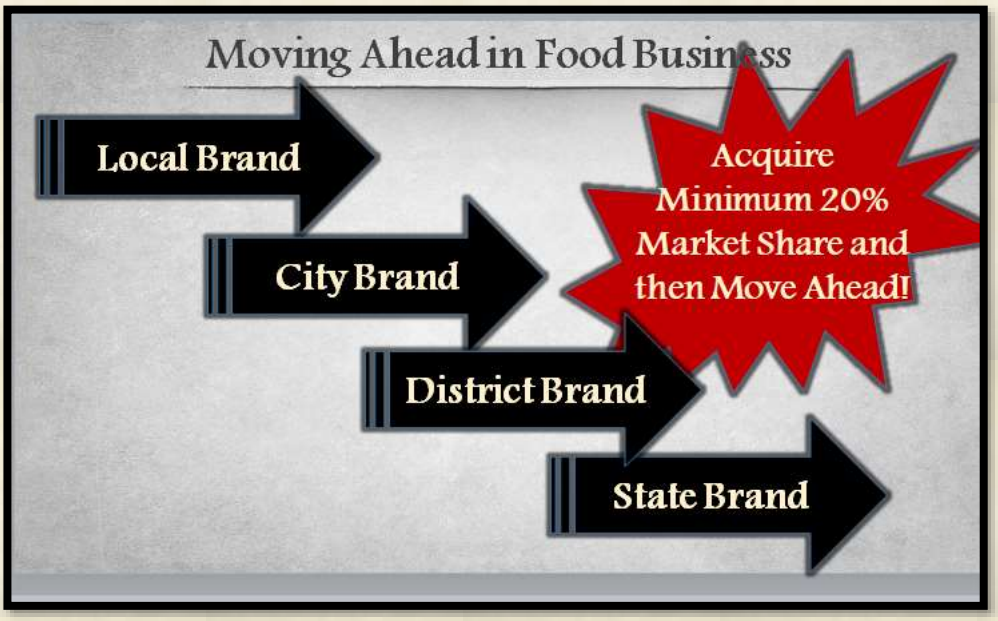
- Desperate Borrowing
- Margins Lesser then Hurdle Rate
- Mismatch of Cash-flows
- Aggressive Growth Without Margins

How to Get out of Debt?

- Restructure the Duration of Debt to Reduce the Cash Flow Burden.
- Reduce High Cost Debt First
- Reduce Other Expenses such as Salary, Marketing, Sales etc.
- Focus on Improving Margins
- Sell Assets which are not Required or will not Give Growth in Future



32. Amul's Expansion Case Study



Lessons for Budding Entrepreneur

1. Identify Gaps in the Outer Market
2. Go to Small Retailers in Small Market
3. Reach out to Small Customers in Small Localities
4. Keep the Delivery and Distribution Cost Reasonable
5. Commercial Terms has to be Same Across Trades
6. Add More Shops... More Shops = More Sale
7. When your Market Share is 10%, then Move Further
8. Don't Block your Money... Take Payment before 2nd Supply
9. Discuss and Keep a Credit Limit with your Distributor
10. Focus on the Depth not on Width (Become a Local Brand)